REDTAPE

LEARNING TEAM-7

Direct Digital Dominance Strategy



Increasing Direct-to-Consumer Sales from 5% to 20%

PRESENTED TO- DR. RUBAL RATHI



AGENDA

1. The Challenge (5% vs 25% gap)
2. Customer Insights (73% want digital)
3. Strategic Solution (4Ps framework)
4. Implementation Plan (18-month roadmap)
5. Strategic Actions (4 recommendations)

THE CHALLENGE

Current Online Revenue: 30% of total
Direct Website: 5% ← THE GAP
Marketplaces: 95% (commission loss: 15-25%)



Impact

✗ No first-party customer data
✗ Limited personalization
✗ Competitor benchmark: 25% direct sales
✗ Opportunity cost: INR 30+ Cr annually



Solution Gap: 20 percentage points to close

CUSTOMER INSIGHTS







Customer Demand:
✓ 73% want digital/mobile channels
✓ 45% prefer website purchases
✓ 58% compare prices on phone in-store

Awareness Gap:
✗ 62% discovered via Amazon/Flipkart (not RedTape)
✗ Only 18% knew RedTape.com exists
✗ 8% perceive RedTape as "digital-first"

Key Insight:
High store engagement (73% try products) +
Low digital awareness = Ready-made digital customers

SWOT ANALYSIS

STRENGTH

513 outlets as D2C fulfillment hubs eliminate logistics risk & enable same-day delivery at scale

WEAKNESS

Only 18% awareness of RedTape.com vs 62% discovery via Amazon/Flipkart creates massive digital discoverability disadvantage

OPPORTUNITY

73% customer demand for digital + shift from 70-80% discounts to 20-30% loyalty pricing unlocks 3-5% margin gain while building premium brand equity

THREAT

Rising digital ad costs + entrenched marketplace competition make direct customer acquisition expensive; 58% price-comparison behavior intensifies discount pressure

STRATEGIC SOLUTION (4PS)

PRODUCT

→ D2C-exclusive limited editions
→ Customization (colors, monogramming)





PRICE

Replace 70-80% discounts with:
→ Loyalty members: 20-30% off
→ Regular: 15-25% off seasonal
→ First-time: 15% acquisition discount

PLACE

Digital: Website + app with AR try-on + same-day delivery
Omnichannel: BOPIS (Buy Online Pick-Up In-Store) in 513 outlets + digital kiosksE





PROMOTION

Social media 25% | Email 20% | Search 20% | Content 15% |
Focus: Instagram, YouTube, influencer partnerships

18-Month Phased Execution Plan

Total: INR 5.5-7 Cr investment → INR 34 Cr revenue upside

01

(0-3 months) -
✓ Website redesign | Pricing framework | 20-30 influencer partnerships
Investment: INR 1.5-2 Cr

02

(4-9 months) -
✓ Website + App LIVE | 75K loyalty members | E-commerce warehouse
Checkpoint: 5% → 8% direct | INR 45 Cr revenue | 2.6M traffic
Investment: INR 2-2.5 Cr

03

(10-18 months) -
✓ Experience centers (5-6 stores) | Full BOPIS | Subscription program
Final Target: 15-20% direct | INR 65 Cr revenue | 250K app users
Investment: INR 2-2.5 Cr



STRATEGIC ACTIONS

ACTION 1	ACTION 2	ACTION 3
D2C DIGITAL INVESTMENT	PREMIUM PRICING STRATEGY	OMNICHANNEL EXPERIENCE
Website (INR 1.5 Cr) + App (INR 1 Cr) + AR/AI (INR 0.3 Cr)	Anchor pricing + Psychological pricing (INR 2,999) Discounts: Loyalty 20-30% | Regular 15-25% | First-time 15%	BOPIS (513 outlets) + Digital kiosks (100+) + Staff training
→ Result: 1.2M → 4.8M traffic | 5% → 20% direct	→ Result: +3-5% margin | Stronger brand equity	→ Result: Seamless journey | Stores as fulfillment hubs